

UK DEPARTMENT FOR WORK AND PENSIONS

Universal Credit — GL Framework Structural Friction Diagnostic Report

GFI Flow Intelligence | April 2026 | Public Diagnostic Brief | SAMPLE REPORT

Diagnostic Context: Universal Credit Managed Migration 2026

Universal Credit serves 8.34 million households in Great Britain (December 2025), replacing six legacy benefits. The managed migration deadline has been delayed multiple times — most recently extended beyond March 2026 due to claimants failing to complete the transition. £22.7 billion in income-related benefits remain unclaimed annually. IBM Consulting is DWP's infrastructure transformation partner.

GL Diagnostic Question: IBM modernized DWP's data infrastructure. Did that modernization reduce the friction claimants experience? The denominator tells a different story.

GL Score

0.074

**STRUCTURAL
FAILURE**

Benchmark: Estonia
e-Gov = 4.20

EXECUTIVE SUMMARY

The UK Department for Work and Pensions Universal Credit system scores GL = 0.074 — Structural Failure. For every £1 of policy intent, only 7.4 pence reaches eligible claimants as accessible, timely benefit. £22.7 billion in benefits go unclaimed annually — not because claimants are ineligible, but because the denominator architecture makes access prohibitive.

$$GL = (Fs \times Vn) / (Pd \times Cf) = (0.48 \times 1.3) / (2.8 \times 3.0) = 0.624 / 8.4 = 0.074$$

IBM modernized DWP's cloud infrastructure. The data center migration improved backend resilience. The denominator — what claimants experience — was not redesigned.

GL FORMULA VARIABLES — UK DWP UNIVERSAL CREDIT ASSESSMENT

Variable	Score	Definition	UK DWP Observed Conditions
Fs — Flow Success Rate	0.48	Proportion of eligible claimants who successfully access their full benefit entitlement	£22.7 billion in income-related benefits unclaimed annually — a 21% increase from prior estimates. Managed migration repeatedly delayed: deadline extended from March 2026 to summer 2026 for ESA/Housing Benefit claimants. Reassessment backlog: 110,000+ claimants waiting, some since 2017. 35% of claimants moving from legacy benefits face lower entitlement on Universal Credit. Sources: Policy in Practice 2025, House of Commons Library 2026, DWP Parliamentary answers.
Vn — Strategic Value	1.3 / 1.5	Societal importance as welfare safety net for working-age population (scale: 0.8–1.5)	Universal Credit is the UK's primary working-age welfare mechanism, serving 8.34 million households. It replaced six legacy benefits to simplify the system. High strategic value: directly determines financial survival for millions of households during unemployment, disability, and low-income employment. Rated 1.3: critical social stabilizer.
Pd — Pain Duration	2.8×	Time and effort burden imposed on claimants (multiplier: 1.2–3.0)	Structural 5-week wait built into Universal Credit design before first payment — by policy, not system failure. Reassessment waits: claimants reporting health deterioration waiting 18+ months (some cases since 2017). Managed migration requires claimants to actively claim within 3-month deadline or lose benefits. Enhanced support journey adds 12-week delay before DWP contacts struggling claimants. Sources: House of Commons Library, Benefits and Work 2025–2026.
Cf — Cognitive Friction	3.0×	Complexity burden — can a claimant navigate independently? (multiplier: 1.2–3.0; 3.0 = maximum)	Universal Credit calculation involves standard allowance + up to 7 additional elements (housing, childcare, disability, carer, transitional protection, etc.) with different eligibility rules for each. From April 2026, LCWRA element halved for new claimants — introducing a two-tier system that claimants cannot easily distinguish. Transitional protection rules require claimants to understand erosion conditions. Migration from 6 legacy benefits to UC requires claimants to understand what they are giving up. Sources: House of Commons Library UC rate changes briefing 2026.

DIAGNOSTIC RESULT

GL = 0.074 → Structural Failure

Delivery efficiency: 7.4%

For every £1 of policy intent, only £0.074 reaches eligible claimants as accessible, timely benefit. The £22.7 billion in unclaimed benefits is not a communication problem. It is a denominator problem.

IBM modernized the infrastructure layer. The friction layer — what claimants actually experience — was not part of the engagement scope. GL measures what was left untouched.

INTERNATIONAL BENCHMARK COMPARISON

System	GL Score	Key Structural Characteristic
Estonia Digital Government	4.20	Pre-loaded citizen data; benefits calculated automatically; no application required for most entitlements
Finland Social Protection	3.13	Single-entry system; provisional payments issued within days; full assessment follows activation
UK DWP Universal Credit ← Diagnostic Subject	0.074	5-week structural wait; complex multi-element calculation; managed migration deadline repeatedly delayed
Massachusetts DUA (US)	0.059	70,000+ case backlog; 9x appeals surge; system built by major integrator without denominator redesign

Estonia's GL is 57× UK DWP's. Both Estonia and Finland achieved high GL not through larger budgets but through denominator-first system design — eliminating friction before it accumulates.

DENOMINATOR ANATOMY — WHERE FAILURE OCCURS

Friction Source	Leverage	Reform Pathway
Structural 5-week wait (Pd design)	HIGHEST	The 5-week wait is a policy choice, not a technical constraint. Advance payments exist but create debt. Reform path: convert structural wait to provisional

		payment with post-activation reconciliation — the same model Estonia and Finland use.
Managed migration design failure	HIGH	Placing the burden of action on claimants during migration — with a 3-month deadline and benefit termination as the penalty — is denominator expansion by design. Reform path: default enrollment with opt-out, not opt-in with penalty.
Reassessment backlog (110,000+ cases)	HIGH	Claimants who reported health deterioration waiting 18+ months for reassessment. DWP working with private contractors (Maximus, Capita, Serco, Ingeus) to increase assessor capacity. Reform path: asynchronous review channel for standard deterioration cases; in-person assessment reserved for disputed cases only.
April 2026 two-tier LCWRA rate	MEDIUM	Introducing two different LCWRA rates for protected vs. new claimants creates a two-tier Cf burden. Claimants cannot easily determine which tier applies. Reform path: plain-language eligibility pre-check tool; automatic tier assignment communicated at point of assessment.

REFORM SCENARIO SIMULATION

Scenario	Intervention	Simulated GL	GL Gain
Current	Existing system — IBM infrastructure modernization in place, denominator unchanged	0.074	Baseline
A	Convert 5-week wait to provisional payment with 5-week reconciliation — Pd 2.8× → 1.9×	0.109	+47%
B — Recommended	Scenario A + default enrollment migration (opt-out model) + asynchronous reassessment channel. Pd → 1.9×, Cf → 2.2×, Fs → 0.60. GL = (0.60 × 1.3) / (1.9 × 2.2) = 0.186	0.186	+151%
C — Estonia-comparable	Pre-loaded entitlement data + automatic calculation + provisional payment at claim registration. Pd → 1.3×, Cf → 1.5×, Fs → 0.82	0.548	+641%

Scenario B does not require new legislation. It requires denominator redesign — changing what claimants are asked to do, not what the infrastructure does. This is the layer IBM's engagement did not address.

WHAT IBM'S ENGAGEMENT ADDRESSED VS. WHAT GL MEASURES

IBM's DWP Engagement (Infrastructure Layer)	GL Diagnostic (Friction Layer)
Private cloud data center migration	5-week structural wait before first payment
Hybrid cloud architecture for critical systems	£22.7B in unclaimed benefits due to access barriers
Backend resilience and high availability	110,000+ reassessment backlog
Data integration across DWP applications	Managed migration opt-in burden on vulnerable claimants
System performance: weeks to days (claim responsiveness)	Claimant experience: structural friction unchanged
IBM solved the supply-side problem.	GL identifies the demand-side problem IBM did not touch.

STRUCTURAL RECOMMENDATIONS

Priority	Recommendation	Target Variable	Expected GL Impact
1	Convert 5-week wait to provisional payment with post-activation reconciliation — advance payment becomes standard, not exception	Pd ↓ highest leverage	Single largest denominator reduction available. Directly addresses the structural barrier that drives the £22.7B unclaimed benefits figure.
2	Shift managed migration to opt-out default enrollment — claimants are automatically enrolled in Universal Credit; legacy benefits terminate only after confirmation of new claim	Pd ↓ + Fs ↑	Eliminates the primary failure mode in managed migration: claimants missing the deadline and losing benefits entirely.
3	Introduce asynchronous reassessment channel for health deterioration cases — documentary evidence reviewed without waiting for assessor appointment	Pd ↓ reassessment backlog	Addresses 110,000+ case backlog. Claimants waiting 18+ months represent compounded Pd that no infrastructure upgrade can resolve.
4	Deploy plain-language entitlement calculator — claimants input their circumstances and receive a	Cf ↓	Reduces abandoned claims among eligible claimants who self-screen out due to complexity. Directly reduces unclaimed benefit volume.

	benefit estimate before beginning the formal claim		
5	Establish real-time GL monitoring dashboard across DWP programs — track Fs, Pd, and Cf by claimant cohort and benefit type	Fs ↑ system-wide	Converts GL from one-time diagnostic to continuous governance instrument. Provides DWP leadership with a friction-adjusted performance view alongside existing KPIs.

METHODOLOGY NOTE

GL scores are computed using $GL = (Fs \times Vn) / (Pd \times Cf)$. All input values derived from publicly available sources: House of Commons Library research briefings (2025–2026), Policy in Practice unclaimed benefits analysis (2025), DWP parliamentary answers, Benefits and Work reporting (2025–2026), and IBM DWP case study documentation. This is an independent structural assessment — not a political statement. No internal system access required. Delivery timeline: 2 weeks.

The GL Framework has been validated across 18 systems in 14 countries and is published in PA Times (ASPA, March & April 2026) and SSRN (abstracts 6050695, 6178024, 6242658).

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